Theory case · Topic 2 · 2 points · 20 min

C12 — Island regional airlines under Porter's five forces

Three airlines fly between the islands of an archipelago with similar turboprops and similar fares; none is clearly larger. Two manufacturers in the world build turboprops of that size, and a single company supplies the jet fuel at the airports. Most passengers are price-sensitive residents who compare fares online, plus the regional government, which buys tickets for public employees. A fast-ferry company has just started services between the two main islands. To start a new airline one needs aircraft, an operating certificate and slots at airports that are almost full.

Part (a) · 1.5 points

Analyse the five competitive forces of this industry, rating each one as high, medium or low with a reason

Force [Slides 14-15]	Rating	Determinants in the case
Rivalry among existing firms	High	Three firms of similar size (low concentration, no leader), similar product and fares (little differentiation)
Bargaining power of suppliers	High	Only two turboprop manufacturers and a single fuel supplier: high relative bargaining power
Bargaining power of buyers	High	Residents are price-sensitive and compare online; the government buys in volume
Threat of new entrants	Low to medium	Capital requirements (aircraft), legal and regulatory barriers (operating certificate), access to "distribution" (airport slots almost full)
Threat of substitutes	Medium to high	The fast ferry: buyers' propensity to substitute depends on its relative price and travel time

KEY POINTS

- Rivalry: high (three similar firms, little differentiation, no leader).
- Suppliers: high (two aircraft makers, one fuel supplier).
- Buyers: high (price-sensitive residents; the government as a large buyer).
- New entrants: low-medium (capital, certificate, full slots: legal and access barriers).
- Substitutes: medium-high (fast ferry on the main route).

Part (b) · 0.5 points

Conclude on the attractiveness of the industry and suggest one strategic response for an airline

With strong rivalry, strong suppliers, strong buyers and a growing substitute, the industry is **unattractive**: the profit available is squeezed from every side, and only the entry barriers protect it. An airline can respond by building a **cost advantage** (a single aircraft type [Slide 21], high capacity utilization [Slide 22]) to survive the price war, or a **differentiation advantage** (frequent schedules, connections with long-haul flights, loyalty schemes for residents) that reduces buyers' price sensitivity [Slides 23-24].

KEY POINTS

- Low attractiveness: four of five forces are strong.
- A response: cost advantage (fleet standardization, high capacity utilization) or differentiation (schedule, connections, service) that weakens buyer power; possibly cooperation or consolidation to reduce rivalry.